Activity 1

- Plan for a model Sandhai.
- Ask the students to bring vegetables and fruits to the classroom. [One student – one vegetable/fruit].
- Ask them to display like Sandhai and stick the prices of the vegetables .
- Other class students can buy the vegetables.
- Through this activity, the students can get an experience of the value of goods, buying, selling and a knowledge of profit, loss, demand and supply.
- Probably the Sandhai should be profitable. The students learn to fix the selling price through which they can earn profit.

"Sure, I will tell you", said Mohan,

"Small traders and other people buy things from sandhai," explained Mohan.

"Do you know in olden days we had a system of exchanging goods for other goods, called barter system. For example, exchange a bag of rice for enough clothes".

"A person who has rice in surplus and a person who has cloth in surplus, will exchange on the basis of their needs. But, here the problem is that the person who has clothes should have the willingness to buy rice. Only then, the exchange through barter system will take place".

"When they exchange commodities, they may lead to certain problems, when comparing the differences in the value of commodity. To solve this problem, people invented a tool called money".

"Really. Is it so" exclaimed the children.

"You know that early man, who hunted and gathered food, later learnt to cultivate crops. When they found rivers which provided them water, settled down



Issues faced in Barter system

The amount from the income which is left for future needs after consumption is called savings.

அளவறிந்து வாழாதான் வாழ்க்கை யுளபோல
வில்லாகித் தோன்றாக் கெடும். –குறள் 479

விளக்கம்: தன் செல்வத்தின் அளவு அறிந்து அதற்கு ஏற்ப வாழாதவனுடைய வாழ்க்கை பல வளங்களும் இருப்பது போல தோன்றி உண்மையில் இல்லாதவனாய்ப் பின்பு அப்பொய்த் தோற்றமும் இல்லாமல் அழியும்.

VI Economics- Lesson 1.indd 186 09-07-2019 12.24.00 PM